

An aerial photograph of a massive solar farm stretching across a flat landscape towards the horizon. The solar panels are arranged in neat, parallel rows, creating a strong sense of scale and perspective. The sun is low on the horizon to the right, casting a warm, golden glow over the scene and creating long, soft shadows. A few small vehicles are visible on the dirt paths between the panel rows, emphasizing the vastness of the installation.

Morgan Stanley

In Pursuit of Scale

Update on the M&A Environment

1H 2026

Strong M&A Momentum Continues in 1H 2026, Led by Megadeals and AI Thematics

Global M&A activity remained remarkably strong in 1H 2026 despite ongoing market volatility, as strategic urgency continues to drive boardroom decision-making. Global **announced M&A volume is up ~40% year-to-date**, with larger corporate transactions continuing to drive activity. There were **45 deals greater than \$10Bn** in the first half, putting 2026 on pace to eclipse last year's record of 60 for the full year.

Companies are increasingly pursuing transformational acquisitions to strengthen competitive positioning, particularly in markets being reshaped by AI. **The benefits of scale have never been clearer or more pronounced.** Scale benefits can be seen in 1) higher valuation multiples, 2) enhanced access to capital and 3) improved margins – the ability to access these benefits is a primary driver of the increased acquisition activity across the globe.

Artificial intelligence investment continues to be a central theme shaping M&A activity across multiple sectors. Acquirers are actively targeting AI-enabled capabilities to enhance productivity, accelerate innovation and build competitive advantage. This dynamic is evident not only in technology-driven sectors, but also across industrials, power & utilities, healthcare, financial services and consumer markets, where AI is driving business model evolution and influencing capital allocation priorities. As a result, M&A is increasingly being used as a mechanism to acquire talent, intellectual property and assets critical to future growth.

M&A activity has become increasingly global in nature with **1H cross-border activity up ~85% over last year.** Despite ongoing geopolitical complexity, corporates are demonstrating a willingness to pursue international transactions to access new growth markets, diversify supply chains and acquire differentiated capabilities. This trend reflects both a normalization of cross-border execution conditions and a recognition that strategic opportunities increasingly transcend domestic boundaries.

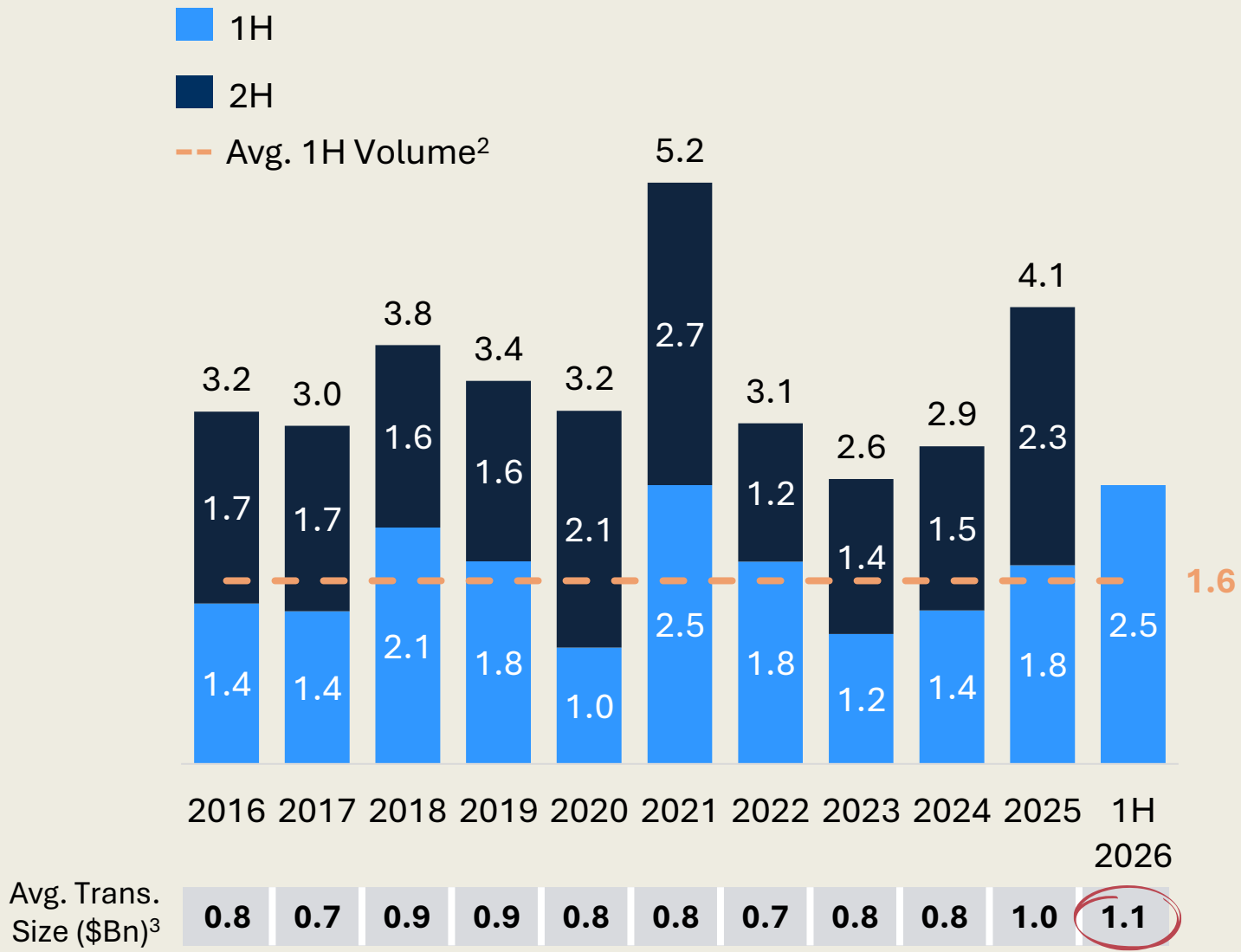
In contrast to the near-record levels seen in corporate M&A transactions, private equity transactions continue to occur but at a relatively muted pace. Financial sponsors' willingness to monetize long-held portfolio companies remains case-specific and continues to lag 2021 volumes significantly. The dynamics of fund lifecycles and desires of limited partners to realize distributions on their invested capital are likely to create an environment where we will see a steady, rather than a sharp, increase of private equity sponsor exits.

As veteran M&A bankers, we thought we might not see activity levels comparable to 2021 for decades but 2026 is shaping up to be another highly active M&A year. We at Morgan Stanley are proud to be working as trusted advisor to many of the companies that are driving this activity.

We want to thank our clients across the globe for the continued partnership and look forward to a great second half of 2026.

JOHN COLLINS & TOM MILES
Global Heads of M&A

GLOBAL ANNOUNCED M&A VOLUME (\$Tn)¹



\$2.5Tn 1H 2026 M&A Volumes – Up ~40% vs. 2025	\$1.1Bn 1H 2026 Avg. Transaction Size – Highest in Last 25 Years	45 Number of >\$10Bn Deals
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Megadeals Driving Growth, While Smaller Deal Activity Muted

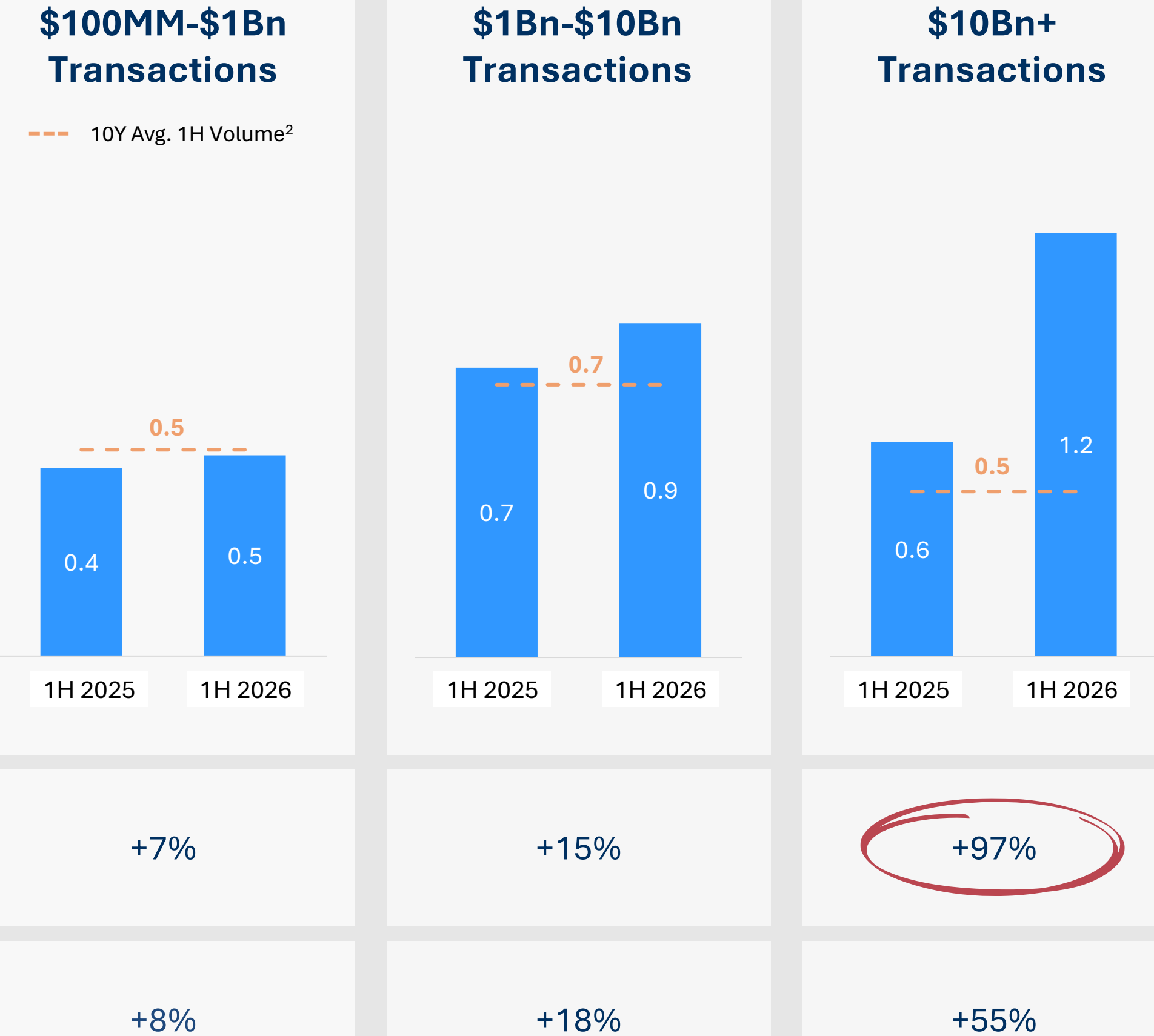
“One thing we have consistently seen is volatility, but boardrooms have been able to look past it because the strategic deals companies have wanted to pursue for years still make sense – and the capital is there to execute.

LILY MAHDAVI
Co-Head of M&A – Americas

ANNOUNCED M&A VOLUME (\$Tn)¹

% CHANGE:
VOLUME | 1H 2026 vs.
1H 2025

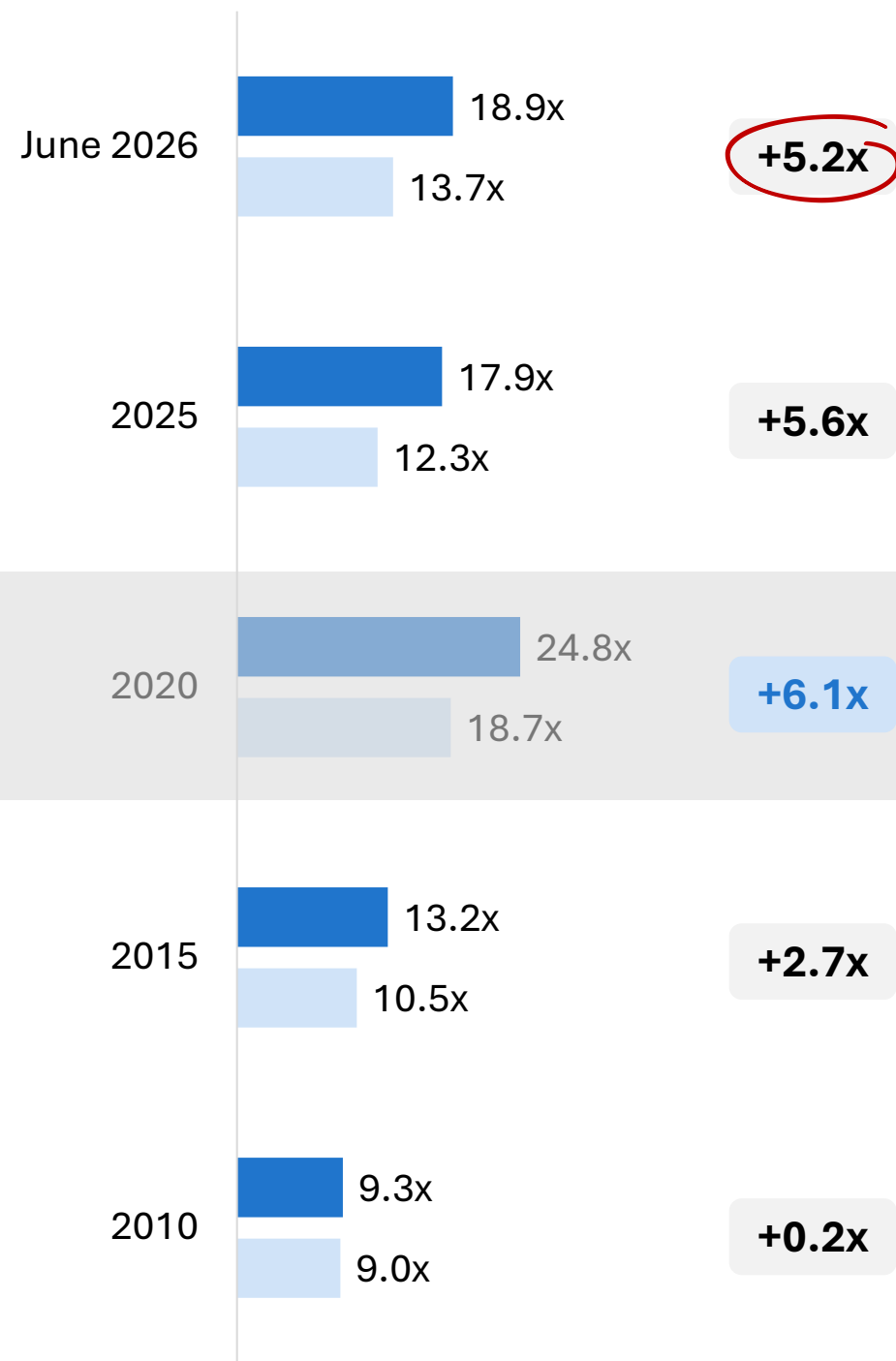
% CHANGE:
UNITS | 1H 2026 vs.
1H 2025



Scale Advantages Persist in 2026, Fueling Continued Consolidation

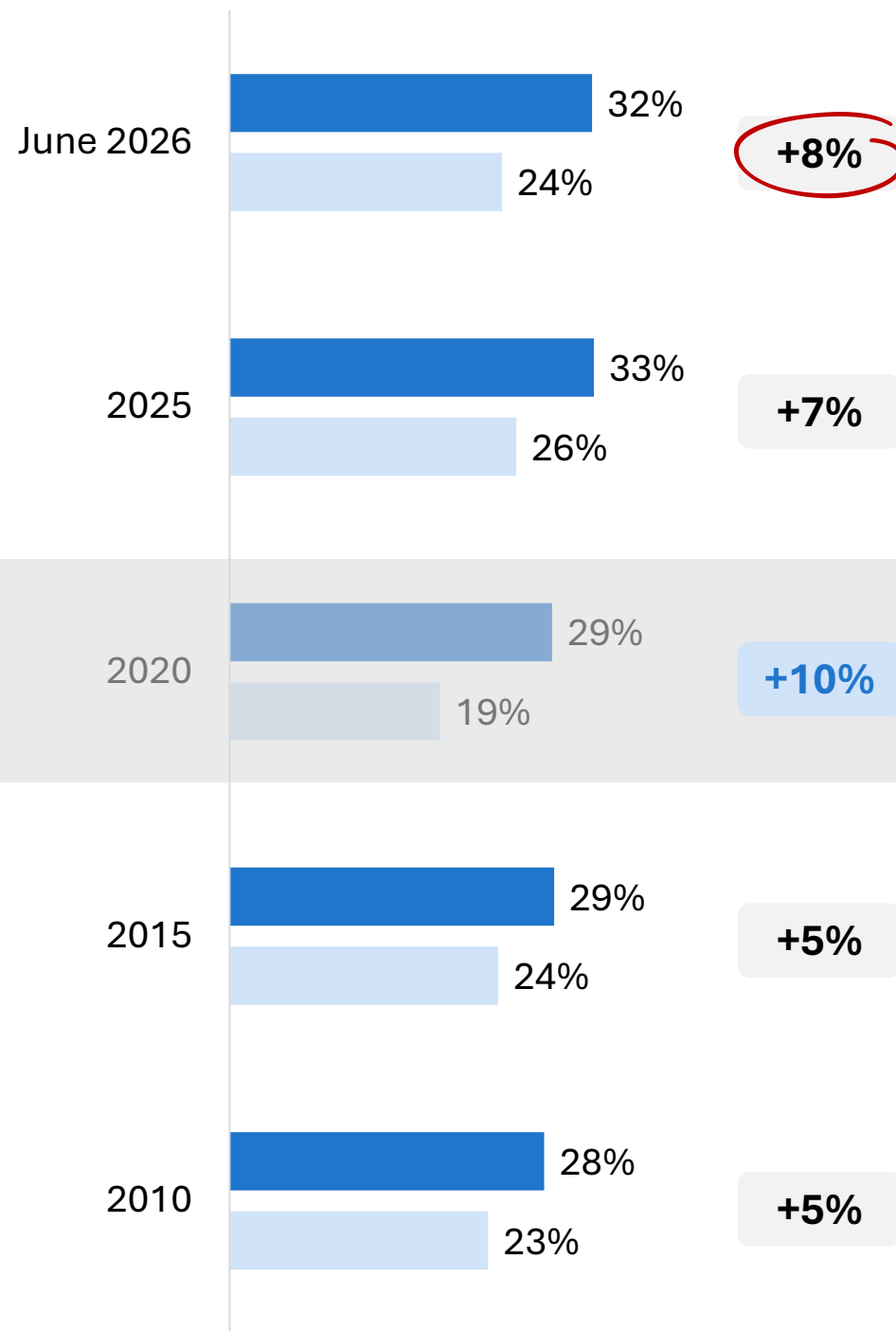
AVERAGE EV / EBITDA MULTIPLE COMPARISON BY SIZE⁴

Russell 1000 Average Enterprise Value / EBITDA Multiple



AVERAGE EBITDA MARGIN BY SIZE⁴

Russell 1000 Average Adj. EBITDA Margin



Bottom Third Market Cap. Top Third Market Cap.

Scale continues to command a premium in 2026, with larger companies consistently delivering higher margins and stronger valuation multiples than their smaller peers.

The wider valuation gap observed during COVID demonstrates that scale is not only a driver of efficiency, but also a source of resilience through periods of market volatility and uncertainty.

“

Scale is becoming an increasingly prevalent strategic imperative. Companies are using M&A to build capabilities faster, compete more effectively and position themselves for long-term growth. That pursuit of scale will continue to shape M&A in 2026 and beyond.

BEN TEASDALE
Co-Head of M&A – Americas

Continued Growth Across Sectors, Particularly Those Impacted by AI

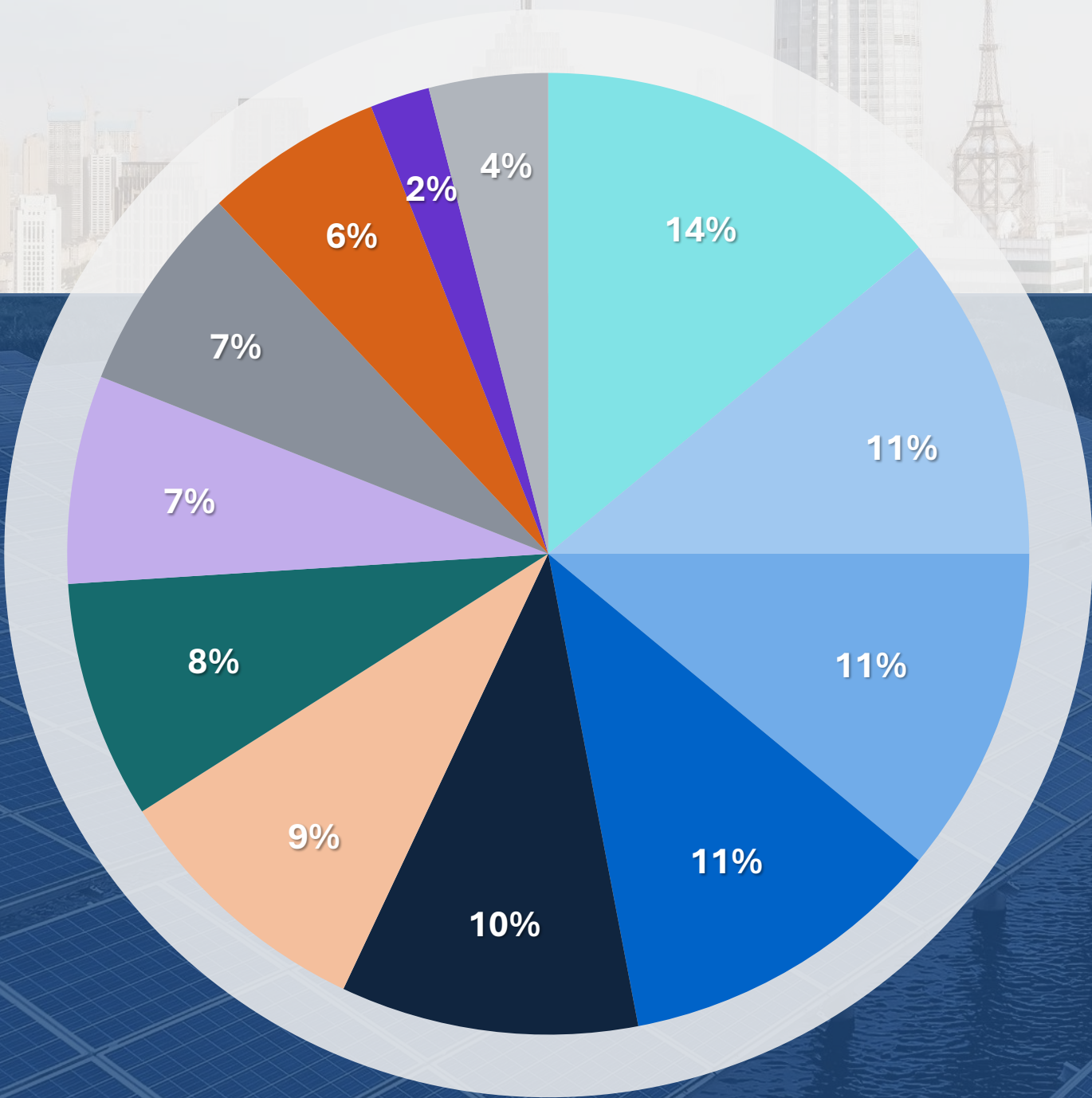
AI infrastructure-related industries have led M&A activity growth in 2026, with Energy & Utilities, Media & Communications and Real Estate benefiting from demand for power, connectivity and data center infrastructure.

Technology M&A reflects a bifurcated market, as traditional software deal activity has moderated while investment shifts toward AI infrastructure, enablement and supporting platforms.

Healthcare activity also remains strong, supported by biotech acquisitions as pharmaceutical companies seek to replenish drug pipelines.

Meanwhile, Financial Services M&A has remained relatively measured, with firms prioritizing targeted, capability-driven transactions over broader acquisition activity.

% of 1H 2026 M&A VOLUME¹



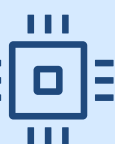
	% Chg. YoY ⁵	Chg. in p.p. Contribution ⁵
Energy & Utilities	61%	2
Technology	(9%)	(6)
Healthcare	99%	3
AI Capital Formation	N/A	N/A
Financial Services	(19%)	(7)
Real Estate	133%	4
Consumer	89%	2
Media & Comms	54%	1
Industrials	(33%)	(7)
Basic Materials	52%	1
Transportation	34%	--
Other ⁶	4%	(2)
Total	40%	

AI Thematics are Reshaping Activity Across Sectors

SELECT INDUSTRIES

AI INFRASTRUCTURE / DATA CENTERS

-  **Energy & Utilities**
 - Heightened investment in power assets across the value chain to ensure reliable, long-term energy supply
-  **Media & Communications**
 - Increased M&A activity in fiber, towers and colocation assets to secure low-latency connectivity and capacity for AI-driven traffic
-  **Real Estate**
 - Capital flow into powered land, logistics-adjacent sites and specialized REITs to secure scarce, energy-accessible locations for data center development

-  **Healthcare**
 - Acquirers targeting AI-enabled drug discovery, diagnostics, clinical-trial matching and differentiated healthcare data assets that improve R&D productivity and care delivery
-  **Industrials**
 - AI accelerating investment in robotics, factory automation and smart manufacturing systems to drive productivity and offset labor constraints
 - Demand for chips, data centers and electrification boosting investment in domestic manufacturing, engineering and supply chains
-  **Technology**
 - Technology M&A, particularly software, was muted in 1H amid AI-driven disruption and widened buyer-seller valuation gaps
 - Buyers focusing on profitable or near-profitable assets with clear AI linkage, leaving a large portion of subscale or non-AI tech assets sidelined from M&A activity

AI CAPITAL FORMATION

\$266Bn in large AI capital formation transactions classified as M&A were announced in 1H 2026, representing ~11% of total M&A volume.

CAPITAL IS CONVERGING FROM MULTIPLE SOURCES



FLOWING TOWARDS CRITICAL AI INFRASTRUCTURE



The AI Buildout Is Catalyzing Business Transformation, Reshaping Competitive Dynamics and Accelerating Strategic M&A Across Industries

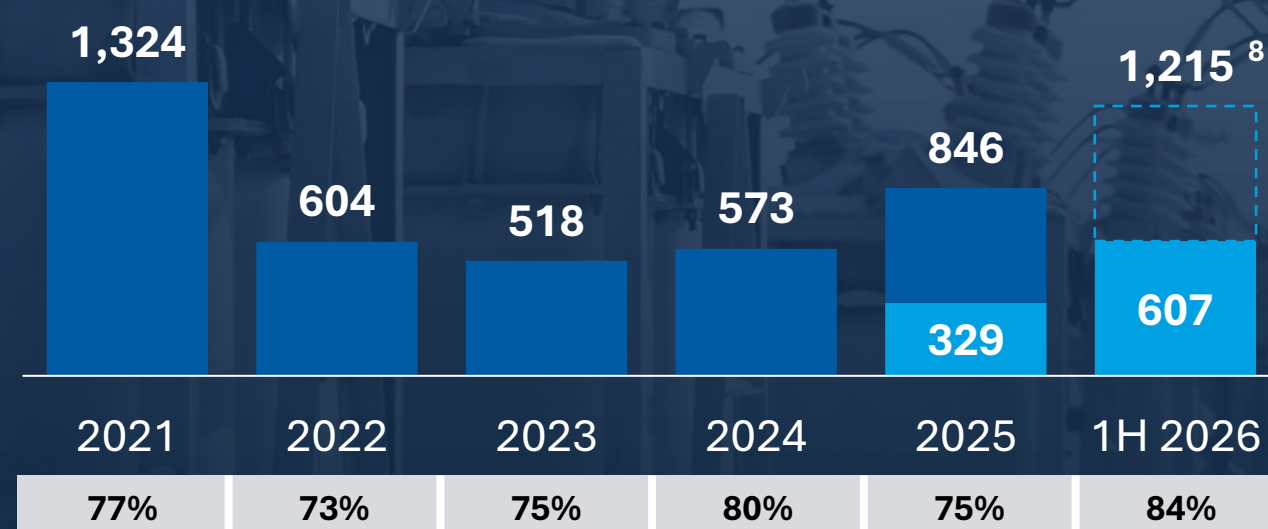
Cross-Border M&A Activity up ~85% YTD, Driven by Megadeals and Investment into the U.S. and EMEA

1H 2026 M&A year-over-year volume growth was led by the Americas (+62%) and EMEA (+76%), with Asia largely flat.

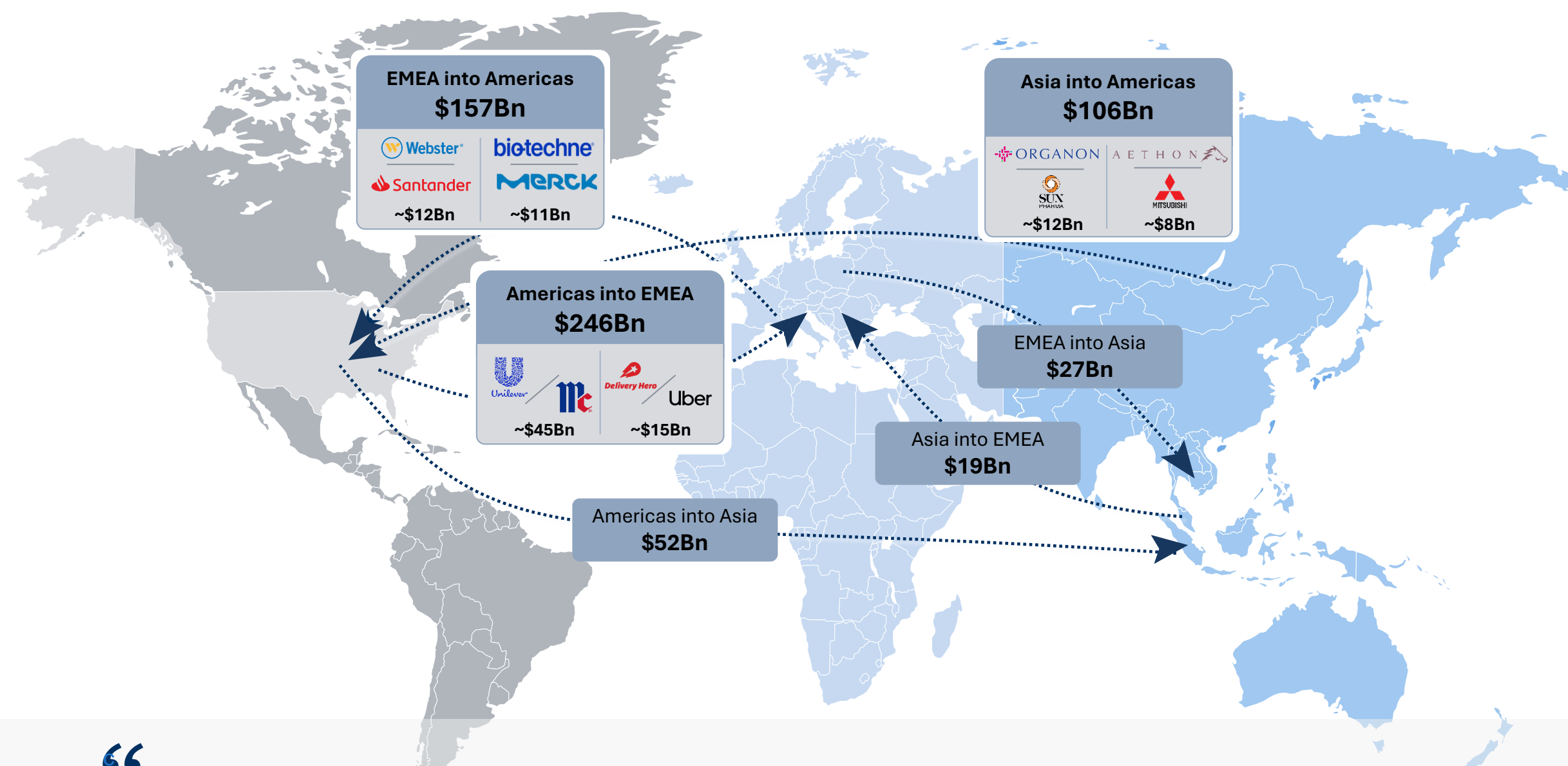
Cross-border M&A increased 85% year over year, accounting for approximately 24% of total M&A activity – approaching the record levels seen in 2021 and exceeding the 10-year average.

In 2026, cross-border deals with a U.S. nexus represent an increasing share of total M&A volume, underscoring the central role of the U.S. market within the broader global M&A landscape.

TOTAL CROSS-BORDER M&A VOLUME (\$Bn)⁷



■ % of Cross-Border M&A Volumes with U.S. Nexus⁹



“

The largest cross-border transactions are no longer driven by geographic expansion or valuation arbitrage; they are fundamentally strategic. Companies are crossing borders to secure critical capabilities, reinforce supply chains, build global scale and accelerate durable growth in an environment where scale and resilience are increasingly decisive.

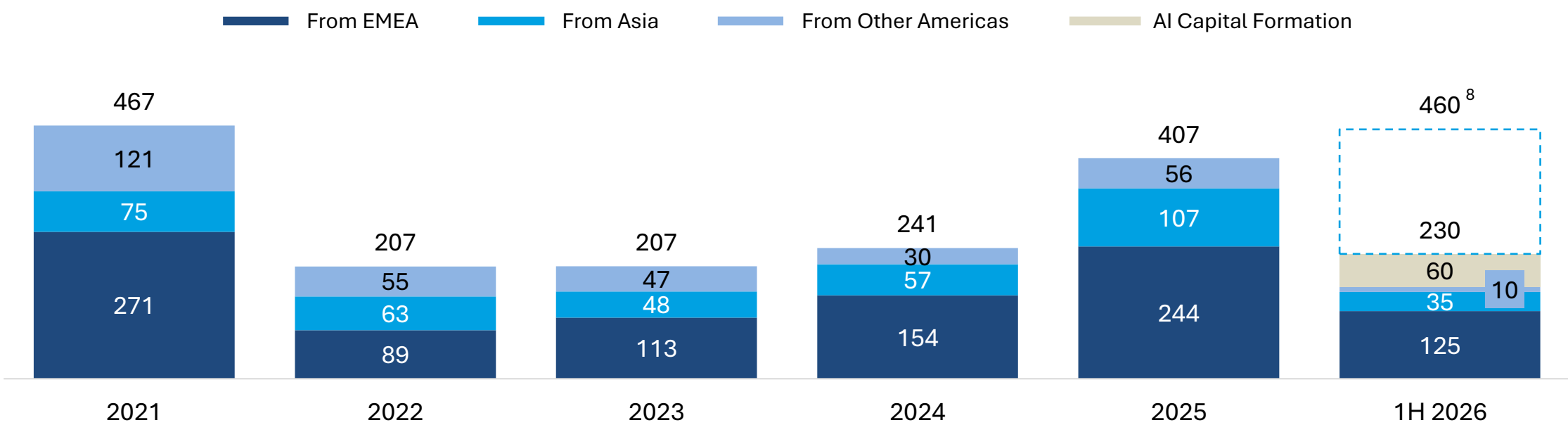
We expect that strategic imperative to continue underpinning large cross-border M&A in 2026.

JAN WEBER

Head of M&A – EMEA

Inbound Investment into the U.S. on Track to Near 2021 Peak Driven by Favorable Tailwinds

CROSS-BORDER INVESTMENT INTO THE U.S. (\$Bn)⁷



DRIVERS OF CROSS-BORDER M&A INTO THE U.S.



Market Growth

U.S. GDP growth (~2-3% over past decade) has consistently outpaced global growth (~1-2%)



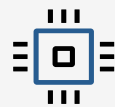
Supply Chain Resilience

Trade frictions driving onshoring, targeting localized production and lower tariff exposure



Access to U.S. Capital Markets

U.S. market depth, liquidity and valuation premiums attractive for better cost of capital and exit optionality



Technology, AI and Capability Acquisition

U.S. headstart in AI and advanced tech



Geopolitical Dislocation

Global instability and commodity volatility position the U.S. as a safer investment destination



Portfolio and Geographic Diversification

Balancing home-market concentration risk and more global revenue bases



Sector Consolidation Opportunities

Fragmented U.S. sub-sectors (industrials, healthcare, services, etc.) present attractive roll-up opportunities

HEADWINDS AND EXECUTION RISKS

Geopolitical and Trade Uncertainty

Evolving geopolitical relationships and tariff regimes complicate deal economics and long-term strategic planning

Valuation Gaps

Sellers in U.S. may remain anchored to peak valuations

Interest Rate and F/X Volatility

Stronger U.S. dollar makes acquisitions more expensive for foreign buyers

National Security Scrutiny

Increased CFIUS reviews of foreign acquisitions, particularly in tech, semis, infrastructure, data and defense-adjacent sectors

Regulatory Complexity

Multi-jurisdiction approvals increasingly required for large strategic transactions

Growth Resilient Despite Mixed Macroeconomic Backdrop

The macroeconomic environment in 1H 2026 remained resilient despite elevated geopolitical tensions, trade uncertainty, market volatility and higher Treasury rates, with constructive equity market performance reflecting continued investor confidence in economic fundamentals.

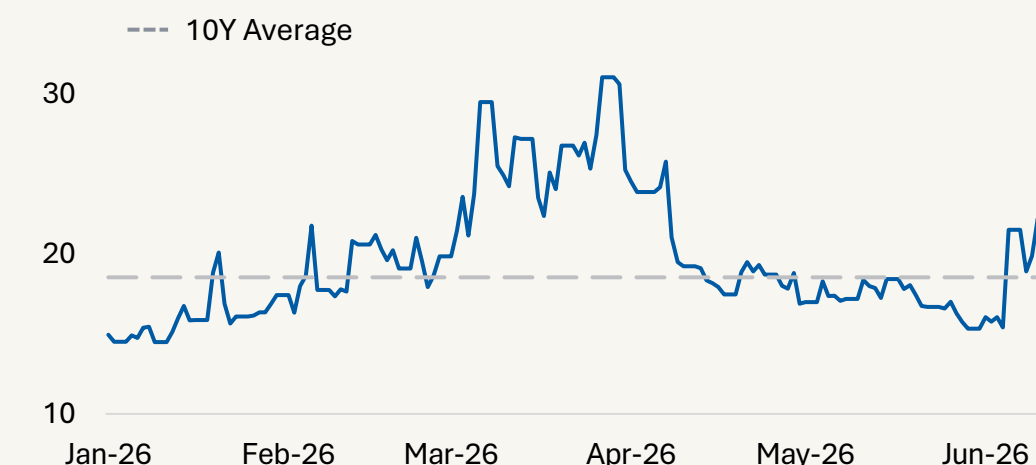
Corporations and investors have increasingly adapted to a higher-for-longer rate environment and greater policy uncertainty, supporting capital allocation decisions and strategic activity despite periodic market disruptions.

The outlook for the balance of 2026 remains cautiously optimistic, as key drivers of M&A activity remain. However, ongoing volatility and uncertainty – highlighted by the growing divergence between consumer and CEO confidence – could temper transaction activity.

1

Volatility Spiked During 2026 Due to the Geopolitical and Macro Uncertainty...

VIX



VIX spiked in 2026 during the beginning of the Iran War, but has since normalized to levels consistent with the 10-year average

2

... And Treasury Yields Have Risen Based on the Current Rate Outlook

10Y Treasury Yield



Treasury yields have increased as investors contemplate inflationary impact of the Iran War and future Fed policies

3

1H 2026 Stock Market Performance Was Constructive...

2026 Performance (%)

+10%

S&P 500

+13%

NASDAQ

+8%

STOXX 600

+19%

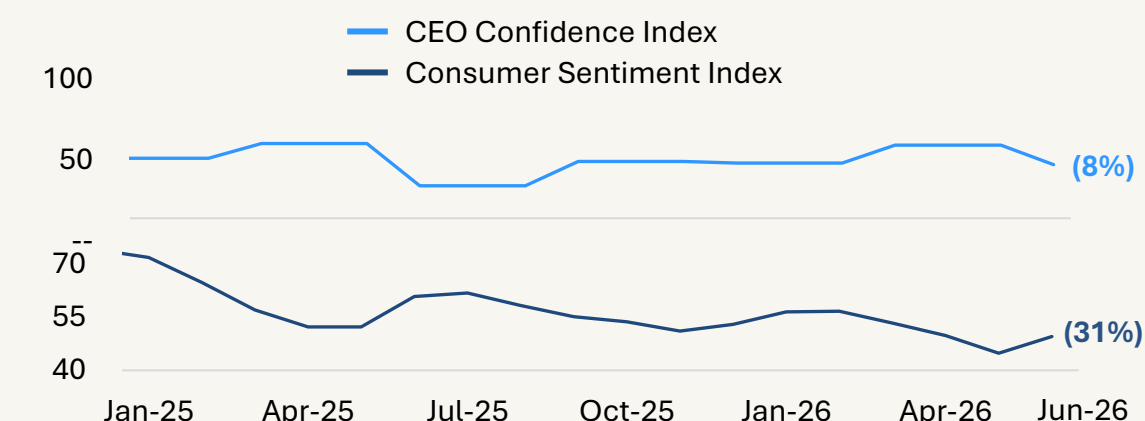
MSCI APAC

Despite volatility due to macroeconomic concerns, public equity markets delivered constructive performance, supported by resilient economic fundamentals, strong earnings growth and sustained investor risk appetite

4

... Although There's Growing Divergence Between CEO and Consumer Confidence

CEO Confidence Index / Consumer Sentiment¹⁰



CEO confidence remains stable, buoyed by robust markets and earnings, while inflation and affordability continue to weigh on consumers

Financial Sponsors Are Active, but Activity is Selective and Largely Theme-Driven

Financial sponsor M&A has remained relatively muted in 1H 2026, with deal volume **largely flat year-over-year** and sponsor participation in total M&A below recent historical levels and well below the 2021 peak.

Despite record dry powder and abundant financing, sponsors have remained selective, focusing on high-conviction opportunities, including larger take-private transactions and AI-related infrastructure and enablement assets.

Growing exit pressure is driving sponsors to increasingly pursue a broader range of liquidity options, including dividend recaps, continuation vehicles, minority recapitalizations and dual-track IPO/M&A processes.

With leverage and multiple expansion contributing less to returns, sponsors are increasingly focused on operational value creation through technology adoption, productivity improvements and business transformation.

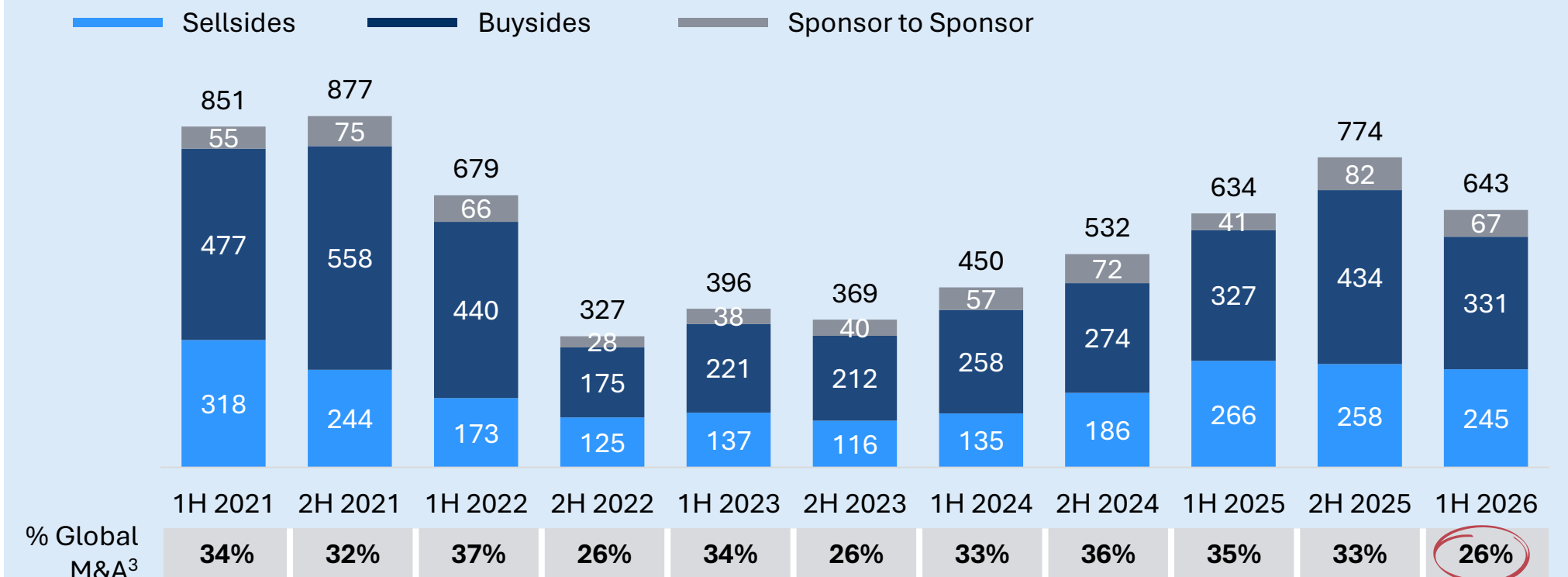
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In a bifurcated market, bespoke advice is more important than ever to achieve a successful exit outcome for sponsor clients. Most sponsor processes are taking longer and require creativity.

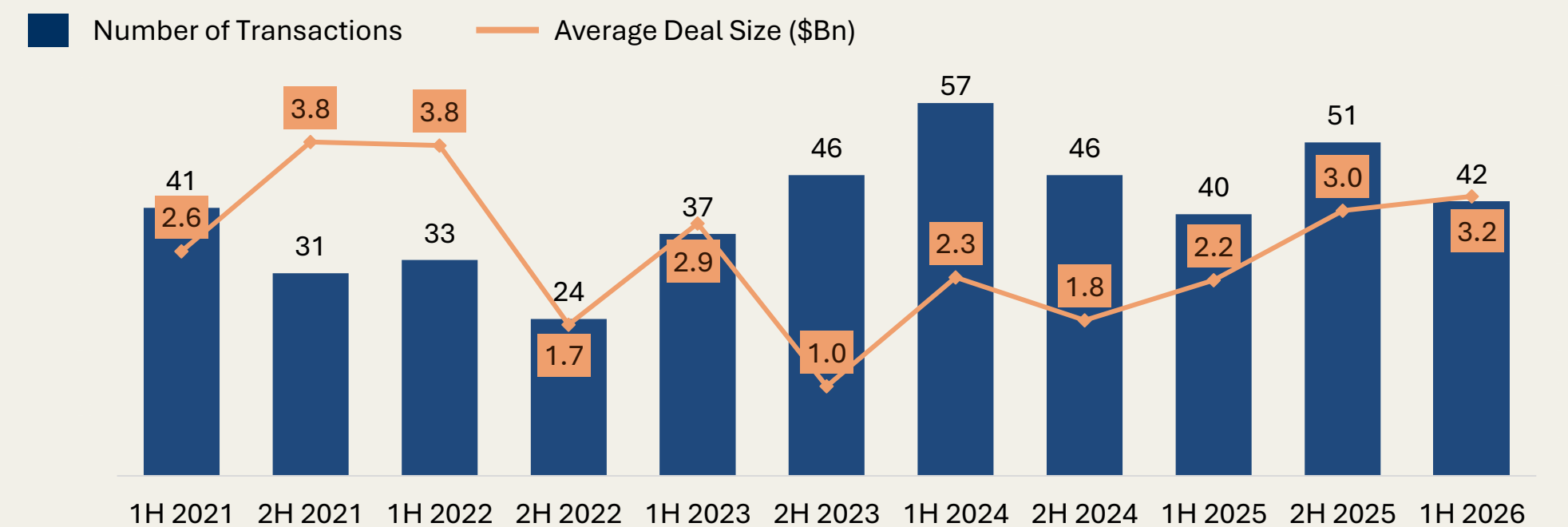
DAVID KHAYAT

Head of Financial Sponsors M&A

Financial Sponsor M&A Activity (\$Bn)^{3,11}



Global Sponsor Public-to-Private Transactions¹



~\$4Tn+

Total dry powder accumulated by private equity¹²

~60%

% of portfolio companies held for 5+ years¹³

\$3.2Bn

Avg. 1H 2026 sponsor take-private deal size

Key Themes as Financial Sponsors Navigate the Selective M&A Market



Sellside Activity Remains Resilient

- Sponsors continuing to pursue transactions amid macro volatility, without waiting for market “perfection”
- Bake-offs, deal launches and sellside backlog are on the rise in 1H 2026 – Morgan Stanley’s clients remain active in this market
- ~60% of PE-owned portfolio companies have been held for more than 5 years driving increased pressure to seek monetization¹³



Increasing Market Bifurcation

- Assets with exposure to AI infrastructure and non-tech sectors (i.e. A&D, blue-collar services, etc.) continue to outperform
- Conversely, software, lower tech services, consumer and retail assets are more challenged
- Processes are taking longer to execute with extensive pre-marketing being the new normal



Alternative Monetization Strategies Gaining Traction

- Sponsors increasingly pursuing creative monetization solutions to achieve liquidity and to bridge valuation gaps
- Solutions include mergers (rather than sales), minority stake sales, structured exits and continuation fund paths
- Strengthening IPO market provides a more realistic “dual track” to monetization for select assets



Debt Financing Markets Remain Firm

- In broadly syndicated market, overall spread levels remain near records tight, and investors remain eager to deploy capital into credit profiles across the spectrum
- In the private credit market, exposure to software and AI-impacted credits has driven some pull back on retail flows, but top-tier managers are well positioned to rotate into other sub-sectors

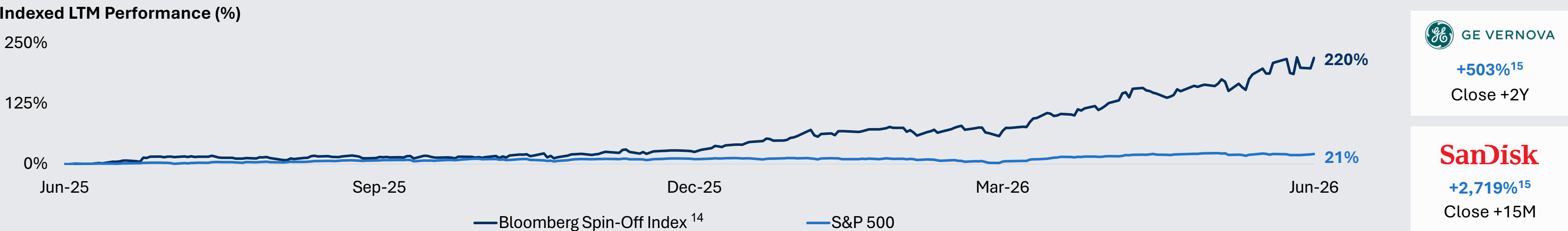


Massive Amounts of Dry Powder Available

- Private equity fundraising remains constructive and largely on track
- Middle Eastern sovereign wealth funds reaffirming commitments to GPs despite ongoing geopolitical tensions
- Large cap private equity fundraising proving particularly resilient – multiple large cap funds raised in 1H 2026

Key Separation Themes in 2026 Reflect Growing Strategic Importance of Portfolio Clarity

The Market Continues to Reward the Strategic Clarity Gained through Separations, with Recent Spin-off Alumni among the Top Value Creators ~2 Years Post-Separation



Wave of High-Profile, Large Cap Companies Completing Highly Strategic Spin-Offs¹⁶

~\$141Bn

S&P Global



~\$8Bn

July 1, 2026

~\$171Bn

Honeywell



~\$90Bn

June 29, 2026

Reopening of the IPO Market has Reinvigorated Carve-Out IPOs

Honeywell



Priced June 2026

Medtronic



Priced March 2026

Companies Combining Separation with Industry Consolidation to Achieve Strategic Objectives

EAT•N



Ann. June 2026



Ann. March 2026

Key Themes for the 1H 2026 Activism Environment

1

Activism Activity
Remains Elevated

2

SEC Tightens
Activist
Disclosure Rules

3

Significant
Activity Across
Market Caps

4

Core Activists
Dominate Activity

Morgan Stanley

1H 2026 ACTIVITY RECAP¹⁷

1H 2026 activism activity at record levels with 8% YoY increase globally and 19% YoY increase in the U.S.

Campaign-specific funding structures now face greater investor disclosure under certain limited circumstances, increasing transparency into activist capital while potentially raising the cost and complexity of campaign financing

Campaigns at large cap companies increased YoY (34% of global campaigns in 1H 2026 vs. 24% in 1H 2025 and 25% in 1H 2024)

Small-cap and mid-caps (\$500MM-\$10Bn) represented the remaining two-thirds of global campaign activity in 1H 2026 and **companies in these market caps are subject to M&A demands significantly more often than large and mega-caps**

Since 2020, approximately **32% of global campaign activity has been conducted by a core group of 30 activists**, led by Elliott, Starboard and Ancora

KEY OUTLOOK THEMES¹⁷

Demands
for M&A /
Separations
Remain Strong

49% of 1H 2026 campaigns involve an M&A theme, compared to 38% in 1H 2025 – most **frequently for a sale / break-up of the company**

 solventum

Triam Partners

 Honeywell

Elliott

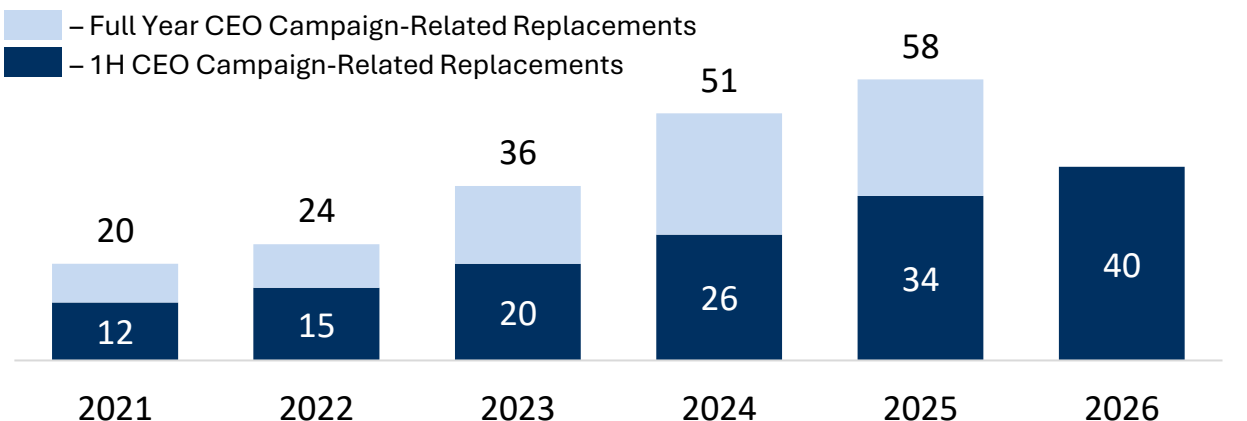
 BLACKLINE

 Couchbase
Irenic Capital

Engaged, Anonym,
Tensile Capital Mgmt.

Continued
Focus
on CEO
Replacements

CEO replacement continues to be a primary campaign outcome, with a record number of replacements in 1H 2026 at companies targeted by activists



AI Themes
Continue to
Materialize

AI-related arguments are increasing in prevalence, with activists often criticizing insufficient AI investment, poor transformation efforts, or a lack of urgency in implementation

 dynatrace
Starboard Value

 LSEG
Elliott

 Snap Inc.
Irenic Capital

 COGNEX
Engaged Capital

Morgan Stanley Continues to be at the Forefront of Activity Across the Spectrum

~\$740Bn

Morgan Stanley 1H 2026
Advised M&A Deal Volume

Industry Defining Large Strategic Activity	 ~\$69Bn	 ~\$22Bn	 ~\$22Bn	 ~\$18Bn
Sponsors Continue to Invest at Scale	 ~\$14Bn	 ~\$6Bn	 ~\$5Bn	 ~\$4Bn
Increased Cross-Border Activity with Desire to Grow Footprint	 Unilever Foods ~\$45Bn	 ~\$15Bn	 ~\$12Bn	 ~\$6Bn
Continued Focus on Corporate Clarity Through Separations	 Honeywell Spin-off of Honeywell Aerospace ~\$90Bn	 S&P Global Spin-off of Mobility Global ~\$8Bn	 Hexagon Spin-off of Octave ~\$5Bn	 Eaton Spin-off of Its Mobility Segment to Dana Incorporated ~\$5Bn
Corporate Carve-outs Getting Done	 ~\$4Bn	 ~\$2Bn	 ~\$1Bn	 ~\$1Bn
AI Driving Transformative Acquisitions	 ~\$14Bn	 ~\$7Bn	 ~\$5Bn	 ~\$4Bn

Sources and Endnotes

Sources: LSEG, Markit, PitchBook, Preqin, University of Michigan Consumer Sentiment, The Conference Board Measure of CEO Confidence, Capital IQ and FactSet, each as of June 30, 2026

Endnotes

1. Includes global announced transactions, each with an enterprise value of \$100MM or more, unless otherwise noted. Includes transactions with estimated values. Excludes terminated transactions. Future terminations of pending transactions will reduce totals shown. Includes \$266Bn in large AI capital formation transactions
2. 10-year average reflects the time-period from 2016 to 2025
3. Includes global announced transactions, each with an enterprise value of \$100MM or more, unless otherwise noted. Includes transactions with estimated values. Excludes terminated transactions. Future terminations of pending transactions will reduce totals shown. Excludes large AI capital formation transactions
4. Includes Russell 1000 constituents in each year divided into three size ranges based on market capitalization. Within each size range the bottom 1% and top 99% multiples or margins were excluded
5. Year-over-year change represents percentage change in M&A volumes from 1H 2025 to 1H 2026; Change in p.p. contribution represents percent point difference in contribution to total M&A volumes between full-year 2025 and 1H 2026
6. Other includes transactions classified as Business Services, Textiles, Wholesale and Other
7. “Cross-Border” defined as inter-regional transactions between acquirers and targets in Americas, EMEA (Europe, Middle East / Africa) and Asia (Asia Pacific and Japan)
8. Represents annualized 1H 2026 M&A volume
9. Reflects Cross-Border transactions where either the acquirer or target were based in the U.S.
10. The Conference Board Measure of CEO Confidence and the University of Michigan Consumer Sentiment index as of June 2026
11. Financial sponsor activity showing the roles where the financial sponsor involved is either the “acquirer”, “seller”, or a “portfolio company” regardless of ownership stake. Excludes \$161Bn in large AI capital formation volume related to financial sponsor activity
12. Preqin as of 12/31/2025. the latest available at the time of publication. Private equity dry powder inclusive of Venture, Growth, Buyout, Real Estate, Mezzanine, Direct Lending, Natural Resources, Infrastructure and Distressed Debt
13. PitchBook as of 6/30/2026; includes buyouts and platform creations only
14. Represents Bloomberg’s US spin-off index that is designed to track the performance of publicly traded companies with a >\$1Bn market cap that have been spun-off from US parent companies. Transaction values based on SpinCo market cap. at Close +1W or equity research estimated market cap
15. Represents SpinCo’s share price performance adjusted against the S&P 500 GICs over the same period
16. Reflects Parent aggregate value 10-days prior to spin-off close and SpinCo aggregate value 10-days post spin-off close
17. Includes data for global campaigns as of June 30, 2026 targeting companies with market capitalizations above \$500MM; companies may be targeted by more than one campaign per year. Excludes public short campaigns, hostile takeovers without activist campaign, 13Ds filed with no publicly disclosed activism, campaigns supporting management, exempt solicitations and campaigns at investment trusts / mutual funds
18. Reflects announced transactions with enterprise value from press releases and LSEG at announcement; mergers of equals reflect combined enterprise values; spin-offs reflect SpinCo aggregate value 10-days post spin-off close

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